

SS5/24 - Funded reinsurance

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Supervisory statement 5/24

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This supervisory statement (SS) sets out the PRA's expectations in respect of insurers entering into or holding funded reinsurance arrangements as cedants.

It covers the PRA's expectations in the following areas:

- the ongoing risk management of funded reinsurance arrangements;
- the modelling of the solvency capital requirement associated with funded reinsurance arrangements; and
- how firms should consider the structuring of funded reinsurance arrangements.

This SS is relevant to UK Solvency II firms and insurance and reinsurance undertakings that have a UK branch (third-country branch undertakings) when they hold, or are intending to enter, funded reinsurance arrangements.

This SS should be read in conjunction with [Chapter 3 of the Conditions Governing Business](#), [Chapters 6, 7 and 11 of the Technical Provisions](#), the [Solvency Capital Requirement - General Provisions](#), and the [Solvency](#)

[Capital Requirement - Internal Models Parts](#) of the PRA Rulebook. And Supervisory Statements: [SS20/16 Solvency II: reinsurance counterparty credit risk](#), [SS7/18 Solvency II: matching adjustment](#), [SS8/18 Solvency II: internal models - modelling of the matching adjustment](#), [SS1/20 Solvency II: prudent person principle](#).

Current version

Published on 23 October 2025. Effective from 27 October 2025.

- [Supervisory statement 5/24 - October 2025 \(PDF\)](#)
- following [PS17/25 - Matching Adjustment Investment Accelerator](#)

Past versions

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- [Supervisory statement 5/24 - November 2024 \(PDF\)](#)
- following [PS15/24 - Review of Solvency II: Restatement of Assimilated Law](#)

Published on 26 July 2024

- [Supervisory statement 5/24 - July 2024 \(pdf\)](#)
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